The Ultimate Guide To
CRYPTO CFD TRADING

By OQtima

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What are Cryptocurrencies?

A cryptocurrency is a decentralized, digital, and encrypted medium of exchange. A cryptocurrency, unlike the US dollar or the Euro, has no central authority that manages and maintains its value. Instead, these tasks are distributed widely among cryptocurrency users via the internet by the well-known supply and demand rule.

Bitcoin is by far the most popular cryptocurrency, and due to its scarcity, it has earned the title of "digital gold" and has been compared to physical gold. Altcoin, on the other hand, refers to any cryptocurrency that is not Bitcoin. Altcoins such as Ethereum (ETH), Ripple (XRP), Bitcoin Cash, and Litecoin have a strong market presence, with high liquidity and market valuations.

What is Blockchain?

Blockchain technology is a way to keep track of information in a secure and tamper-proof way. This makes it a great choice for currency networks, as it is very difficult to tamper with the data once it is recorded in a block. Different cryptocurrencies like Bitcoin, Litecoin, and Etherium use different blockchains, creating separate databases. Blockchain technology is free to access and can be used by many people at once.

What is 'decentralization' in Blockchain?

Whenever a new transaction takes place on a blockchain, it doesn't automatically become a block that can be added to the chain. first, it needs to be verified by a decentralized network of computers known as nodes. This ensures that control and decision-making are not in the hands of one individual or group, but evenly distributed among the network to eliminate the chance of bias or misjudgement. once a new block has been verified by the nodes, it can then be added to the blockchain.

How do Cryptocurrency CFDs work?

Trading cryptocurrency CFD's works in the same way as trading CFD's on forex pairs: The trading pair will include one cryptocurrency and one currency. For example:

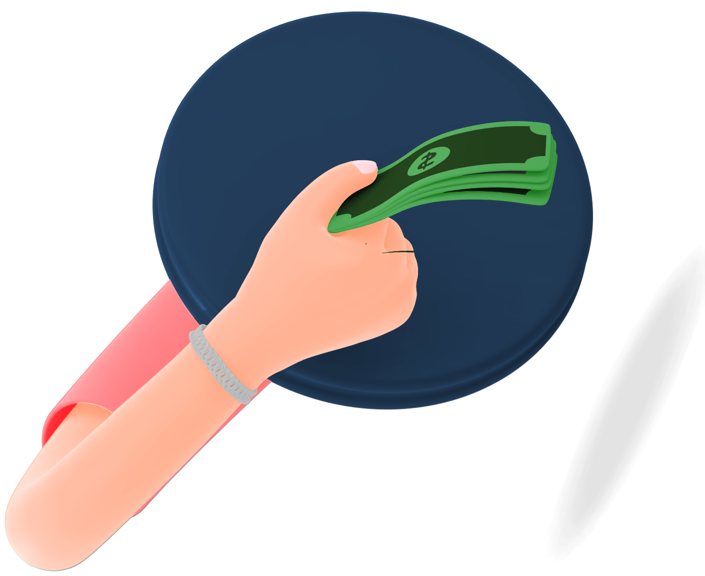
Bitcoin / US Dollar = BTCUSD
Bitcoin / Euro = BTCEUR
Ethereum / US Dollar = ETHUSD
Ethereum / Euro = ETHEUR
Litecoin / US Dollar = LTCUSD
Litecoin / Euro = LTCEUR

As with all CFD's you are not physically owning the cryptocurrency but simply speculating on the price movement.

What is Leverage

and how does it apply to trading Cryptocurrency CFDs?

CFD trading with leverage, allows you to increase your market exposure where your profit or loss will be amplified. Using leverage when trading gives you more buying power. For instance, if you have a leverage ratio of 5:1 you have 5 times more buying power and both your profit and loss will be multiplied by 5. So a price increase of 2% will be multiplied by 5 and you as a CFD trader using leverage will quickly either make or loss 10%.



Time for an example?

You would like to trade 1 lot of BTCUSD on a USD account, with a market price of 20,000.00 and a leverage 1:1, the Required Margin to open this trade would be 20,000.00 USD.

But, with a leverage of 1:50, if you trade 1 lot of BTCUSD on a USD account, with a market price of 20,000.00, the Required Margin would be 400 USD instead.

***Disclaimer:** when you multiply your profits, you also multiply your losses, which can blow your account very quickly if the market moves suddenly.*

How to calculate
Crypto Lot Sizes, Required Margin and Potential profit?

There are a few trading concepts that you need to be familiar with when performing your calculations: Lot sizes, required margin, leverage, profit, and currency conversions are some of these. Let's see what they mean:

Lot Sizes

When trading cryptocurrencies the lot size will depend on the contract size and this will vary based on the currency traded. For example:

1 Lot BTCUSD	=	1 BTC
1 Lot ETHUSD	=	1 ETH
1 Lot LTCUSD	=	10 LTC
1 Lot LNKUSD	=	100 LNK

Required Margin

The Required Margin is how much money you need to open the trade. Required Margin is always calculated in the term currency of the quote, as follows:

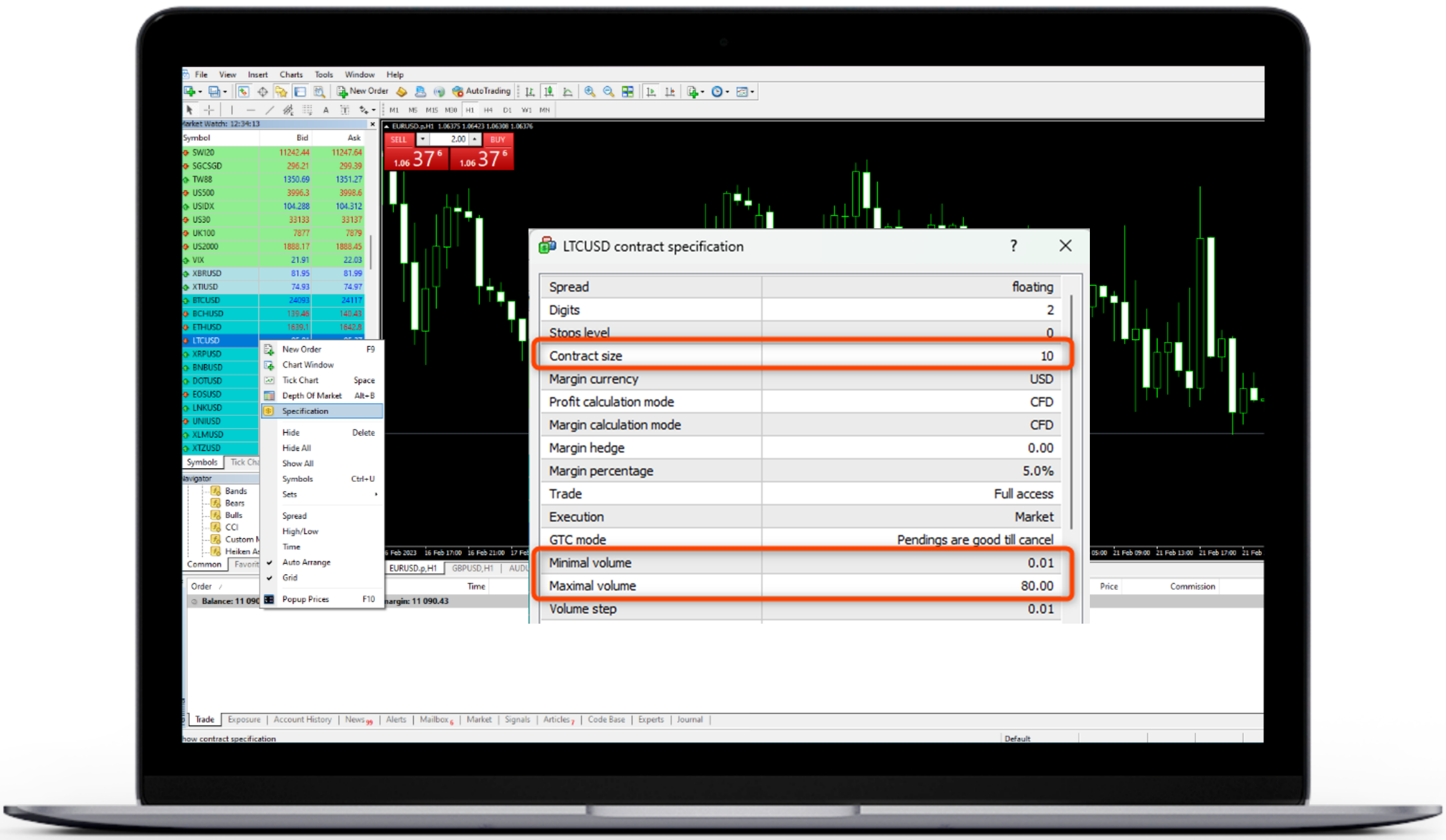
Trade Size in units x Market Price / Leverage = Answer in monetary value

For example lets take Bitcoin which has a contract size of 1; if you are going to trade 2 lots of BTC/USD with a Market Price of 16,077.71 and a leverage of 1:50, the calculation would be:

(2 x 1 units) x 16,077.71 / 50 = 643,11 USD

Contract size an minimal volume size

The 1 Standard lot size in forex is always equal to 100,000 units of the term currency and the smallest lot size in forex trading is 0.01 lots as well known as "micro lot" and the value of this micro lot is 1,000 of the base currency being traded.



On the other hand, Non-FX instruments like Cryptocurrencies have different contract sizes and different minimal volumes to trade them. You can always find this information in your MT4 or Mt5 in the specifications of each Cryptocurrency by right-clicking on the instrument in the Market Watch.

Profit calculation

Trade size and margin requirements are all done in the base currency of the pair being traded. However, Profit, is always calculated in the quote (second) currency of the pair being traded.

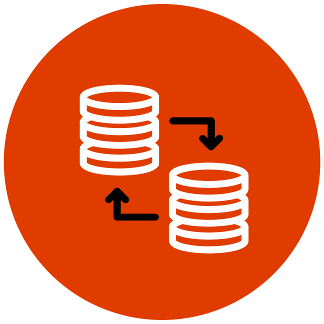
The difference between the trade's opening price and closing price, expressed in the quote currency, multiplied by the amount of lots of the trade, is the trade profit as follows:

If you open 2 Lots BUY trade of BTCUSD at 20,100.00 and close it at 23.500,00, then your profit would be calculated as:

(23.500-20.100) x 2 = 6.800 USD**

**Excluding Swap charges if applicable.

Currency conversion



You will need to convert the profit amount into your trading account currency if this is different from the quote currency of the pair traded.

The profit amount must be multiplied or divided by the rate of exchange between the quote currency and the base currency of your trading account.

Following the previous example, if your account is in EUR and your profit was 6.800,00 USD, then you will need to calculate as follows:

If the Exchange rate of EURUSD is 1.08224, then

6.800,00 USD x 1.08224 = 7.359,23 EUR

How to trade Crypto CFDs with OQtima?

The open-source, trader-tested Metatrader 4 platform is used by OQtima and is widely regarded as one of the best institutional multi-asset trading platforms in the market. This platform is available for Desktop, Mobile, Tablet, and Browsers.

The first step in getting started is to open an OQtima Demo account, which will simulate real-life trading without the risks and can serve as a useful guide before you dive into serious real trading, or you can go instead for an OQtima Live account if you feel ready to take your trading journey to the next level.

Once the Demo or Live accounts are funded, you can download the platform to any of your devices from your Portal > Trading platforms and select the option that corresponds to your device, or you can simply click on the following buttons:

Mt4 Desktop

Windows PC

Web Trader

macOS

Mt4 Mobile and Tablet

App Gallery

Play Store

App Store

Log into your trading account and search for the Crypto Options in the Market Watch.

From here, you can start trading. You will need to choose the position's direction, which can be either BUY if you believe the price will rise or SELL if you believe the price will fall, as well as other positional details like order size, order type, Stop Loss, and Take Profit. You can select from the +150 Crypto pairs that OQtima has available for you without any additional fees or commissions. Pricing is also transparent because OQtima uses top-tier 1 liquidity providers, and thanks to our stable and fast ECN+ pricing environment, you will always get the best available prices on the market.

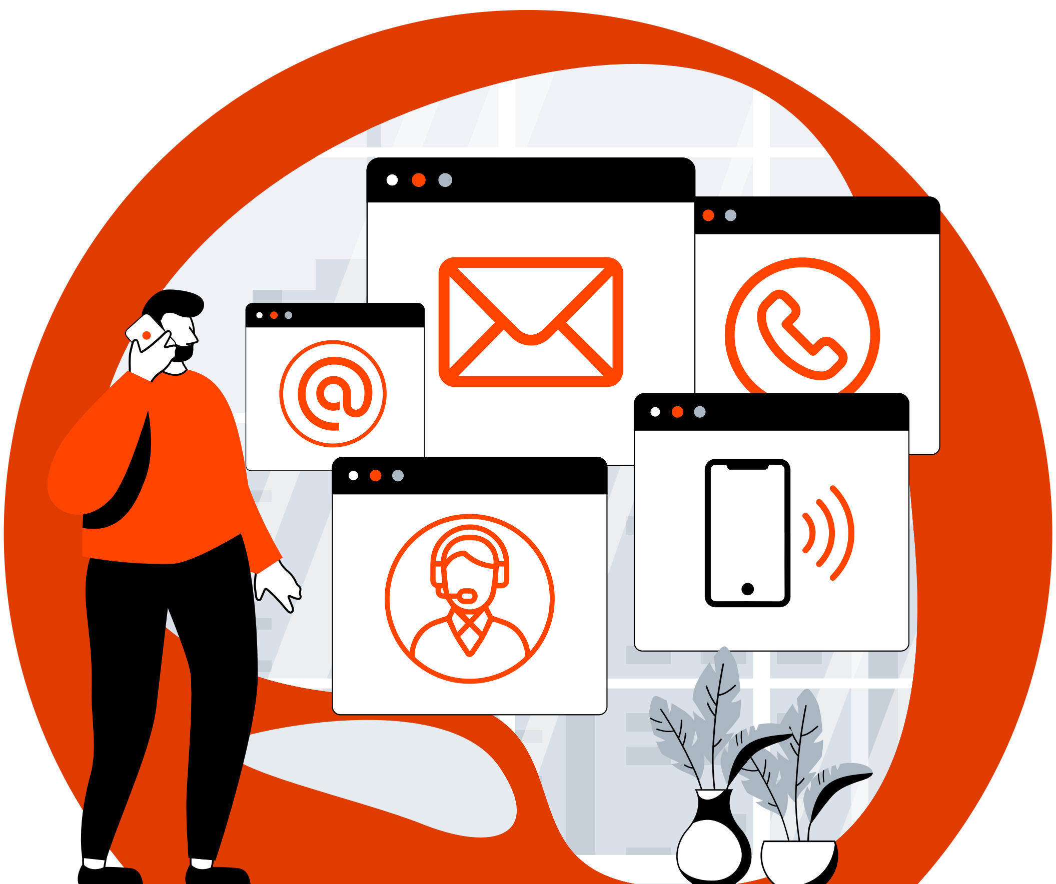
Thank you

We hope you enjoyed this e-book

If you have any questions, feel free to contact the OQtima Support team.

We can be reached anytime by the below channels

You just have to click here!



Are you ready to take your trading to the next level?

If you made it here, you are on your way to levelling up your trading skills, and we want you to take full advantage of it.

For the overachiever in you

Additional resources to help you make the most of your trading experience with OQtima:

Beginners' guide to CFD trading

MetaTrader 4 - The definitive guide

cTrader explained: A comprehensive guide for beginners

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